

BREAKAGE

The Breakage Field Guide

*Four questions, ten minutes,
and twelve words you were never taught.*

Companion to the channel. Free. No advice in it, by design.

Part 1 · Check any money claim in ten minutes

Four questions. Ten minutes. No advice, by design. Most money claims that go wrong are not invented. They are real numbers that drifted: the date fell off, a projection became a fact. Four questions catch nearly all of it.

- 1. Who benefits from this number being repeated?** Set your effort accordingly. A figure with no institution behind it, repeated in the same phrasing on pages that are selling something, is marketing wearing a statistic's clothes.
- 2. Is this a primary source, or someone describing one?** Primary is the thing itself: the statute, the filing, the regulator's database, the survey with its method attached. Click back. If you cannot reach a primary source in two clicks, that is information about the claim.
- 3. Are your six sources actually one?** One newsroom reports; five outlets carry it. Same quotes, same figures, same names in the same order, and "as first reported by" in small type near the bottom. Checking takes thirty seconds.
- 4. Is it verified, modelled, or unverified?**

Label	What it means	How to treat it
Verified	You retrieved it from the source and opened the link yourself	Say it. Cite it.
Modelled	You calculated it, and the method is stated	Say it <i>with</i> the method, never as a bare fact
Unverified	You have not checked it	Do not repeat it. Not even with "I think"

A link you did not open counts as unverified.

The routine

- 1. Minute 1.** Who benefits? Decide how hard to look.
- 2. Minutes 2 to 5.** Click back to a statute, a filing, a dataset, or a study with a method.
- 3. Minutes 6 to 8.** Check whether your several sources are one source.
- 4. Minute 9.** Check the date, and that the number measures what the sentence says it measures.
- 5. Minute 10.** Write the label next to the number.

One worked example, in one clause. "Airlines make more from frequent-flyer miles than from flying planes" rests on real June 2020 figures, taken at the bottom of aviation's worst year. By 2024 it had reversed. Add the date and the sentence is true again.

Part 2 · Where the records actually are

Public, free, and mostly searchable. Confirm you are on a .gov domain before you type anything in.

Record	What it holds	Where
County court and deed portals	Partition actions, foreclosures, probate, liens; property transfers with the sale price on the deed	Search the county name plus "clerk of court records search"
CFPB Consumer Complaint Database	Complaints by company and product, with the company's response. Fifty in a row show whether it is a pattern	consumerfinance.gov/data-research/consumer-complaints/
State attorneys general and securities divisions	Consent orders and enforcement actions, which describe a mechanism in detail in order to prohibit it; registration checks	nasaa.org/contact-your-regulator/ · naag.org
SEC EDGAR	Every public company's filings; the risk-factors section and full-text search across all companies	sec.gov/edgar/search/
FINRA BrokerCheck and SEC adviser lookup	Whether a person or firm is registered, and their disciplinary history	brokercheck.finra.org · adviserinfo.sec.gov

Record	What it holds	Where
USPTO trademark register	Who owns a phrase, and what they disclaimed	tmsearch.uspto.gov
State unclaimed property	Money handed to the state because the holder could not return it. Search your own name	unclaimed.org
Census and Federal Reserve data	The denominator: population, income, housing, rates	data.census.gov · fred.stlouisfed.org
Federal regulations and laws	The rule itself, with its effective date	ecfr.gov · congress.gov

Why the denominator matters: "nearly half the sellers were Black" means nothing alone. Against a county that is **5.4 percent** Black (Census, ACS 2023 five-year estimate), it is the whole story. Same numerator.

Part 3 · Twelve words you were never taught

Each entry carries its number and its label; the sources edition carries the citation.

- **breakage** · Value you paid for and never redeemed, which becomes the seller's revenue. About **\$23 billion** a year in US gift cards; **43 percent** of adults hold a dead card, averaging **\$244**. **VERIFIED**
- **escheat** · The process by which unclaimed property passes to the state after a dormancy period. Why the unclaimed-property databases exist. **VERIFIED**
- **deferred interest** · Interest accrues from day one and is waived only if the whole balance clears by the deadline. The regulator's example: **\$4,500** purchase, **\$180** left owing, about **\$1,440** charged. About **one in five** balances trip it. **VERIFIED**
- **partition action** · Any co-owner can force the sale of the whole property, however small their share. **VERIFIED**
- **heirs' property** · Land inherited without a will: everybody owns a share of the whole and nobody owns a specific piece. What makes a partition action possible. **VERIFIED**
- **guardian ad litem** · The person a court appoints for owners who cannot be found. When the search is not diligent, the sale proceeds without them. **VERIFIED as reported**
- **payment for order flow** · Your broker is paid by the firm that executes your trade. The SEC found one broker's customers were "**deprived of \$34.1 million**" in worse prices even after saving the commission; **\$65 million** penalty, settled without admitting or denying. **VERIFIED**
- **unearned premium** · Premium collected for coverage not yet delivered. One insurer, Progressive, held **\$25.2 billion** of it at the end of 2025. **VERIFIED**
- **float** · Money held between receiving it and paying it out. Berkshire Hathaway: about **\$176 billion** at the end of 2025, at a **negative** average cost in each of the last three years. **VERIFIED**
- **negative amortization** · The payment is smaller than the interest, so the balance grows while you pay on time. \$30,000 at 6 percent accrues **\$150** a month; pay **\$100** and you owe **\$30,050**. **MODELLED**
- **churn** · Business built on the assumption you will not leave. The FTC's 2022 case against an internet phone company: sign up online, cancel only by phone. **\$100 million** in refunds to **389,106** people. **VERIFIED**
- **loyalty carve-out** · Gift cards get five-year protection under federal rules. A "loyalty, award, or promotional" card is excluded from it, and only has to say so on the front. **VERIFIED**

Every source is in the sources edition and in every episode description. Find an error, reply to the email this arrived with, and the correction goes on the record.

Breakage is journalism and education, not financial advice. This card is a method for checking a money claim and a map of where the public records are. Nothing in it is personalized, and nothing in it recommends any security, product, or course of action.